Group financial reporting
Study notes : Consolidation journals

REMEMBER THESE JOURNALS ARE PROFORMA JOURNALS PREPARED FOR CONSOLIDATION PURPOSES ONLY. THEY ARE NOT PROCESSED IN THE ACCOUNTING RECORDS.

Reversal of unrealized inter-company profits

1. Unrealised profit in closing inventory

Calculation is based on closing inventory of the buyer x GP%

DR	Cost of sales (P/L)	If COS not given DR GP or PBT	xx	
CR	Inventory (SFP)			xx
Tax effect @ 28%				
DR	Deferred tax (SFP)		xx	
CR	Income tax expense (P/L)			xx

2. Unrealised profit in opening inventory

Calculation is based on opening inventory of the buyer x GP%

DR	Retained earnings (SOCIE)	(beginning of year)	xx	
CR	Cost of sales (P/L)	If COS not given CR GP or PBT		xx
Tax effect @ 28%				
DR	Income tax expense (P/L)		xx	
CR	Retained earnings (SOCIE)	(beginning of year)		xx

3. Inter-company revenue

Total amount of inter-company revenue for the year is eliminated. There is no tax effect.

DR	Revenue (P/L)	If Revenue or COS not given DR/CR GP or PBT	xx	
CR	Cost of sales (P/L)			xx

4. Unrealised profit on disposal of a depreciable asset (current year)

DR	Other income (P/L)	If Other income not given DR PBT	xx	
CR	Property, plant & equipment (SFP)			xx
Tax effect @ 28%				
DR	Deferred tax (SFP)		xx	
CR	Income tax expense (P/L)			xx

Note to students: If the seller is in the business of manufacturing the P, P & E Asset then the journal will be as follows

DR	Revenue (P/L)	Selling price	xx	
CR	Cost of sales (P/L)	Cost price		xx
CR	Property, plant & equipment (SFP)			xx

Net effect of Revenue DR & COS CR is the elimination of the GP.

5. Depreciation adjustment (current year)

The depreciation adjustment is calculated by dividing the unrealised profit by the remaining useful life of the asset (RUL) on the disposal date, apportioned for the number of months in the current year.

DR	Property, plant & equipment (SFP)		xx	
CR	Other expenses (P/L)	If Other expenses not given CR PBT		xx
Tax effect @ 28%				
DR	Income tax expense (P/L)		xx	
CR	Deferred tax (SFP)			xx

6. Unrealised profit on disposal of a depreciable asset (prior year)

DR	Retained earnings (SOCIE)	(beginning of year)	xx	
CR	Property, plant & equipment (SFP)			xx
Tax effect @ 28%				
DR	Deferred tax (SFP)		xx	
CR	Retained earnings (SOCIE)	(beginning of year)		xx

7. Depreciation adjustment (prior year)

The depreciation adjustment is done from date of disposal till beginning of current year.

DR	Property, plant & equipment (SFP)		xx	
CR	Retained earnings (SOCIE)	(beginning of year)		xx
Tax effect @ 28%				
DR	Retained earnings (SOCIE)	(beginning of year)	xx	
CR	Deferred tax (SFP)			xx

At acquisition journals

8. Reversal of Mark-to-market reserve

If the parent has fair value adjusted the investment in the subsidiary, this FVA must be reversed as the investment must be at cost before preparing the "At acquisition" journal.

DR	Mark-to-market reserve (SFP)	After tax	xx	
DR	Deferred tax (SFP)	@ CGT rate	xx	
CR	Investment in subsidiary (SFP)	Gross amount		xx

9. Fair value adjustments of non-current assets at acquisition

Non-current assets includes Property, plant & equipment (P, P & E), Investment property (IP), Intangible assets (IA) & Financial instruments (FI)

DR	Assets (SFP)	P, P & E, IP, IA, FI	xx	
CR	Revaluation surplus (SFP) **OR**	**(P, P & E & IA only)**		xx
CR	Retained earnings (SFP)	**(IP & FI)**		xx
CR	Deferred tax (SFP)	@28% OR CGT rate		xx

The above is for an increase in the FV of assets. A decrease will be debited to retained earnings and credited to the asset. The CR to RS or RE is after tax. The tax effect is debited or credited to DT at either normal tax rate (depreciable assets) or CGT rate (non-depreciable assets & FI).

NOTE: If a depreciable asset is revalued at acquisition depreciation for all periods after acquisition must be adjusted to account for the at acquisition revaluation. The calculation is based on the revaluation divided by the RUL on acquisition date. DT must also be adjusted.

10. Fair value adjustments of current assets or current liabilities at acquisition

The adjustment is calculated after tax (28%)

DR	Retained earnings (SFP) since to beginning	(beginning of year)		xx
CR	Retained earnings (SFP)	At acquisition		xx

The above entry is for an increase in the FV of current assets. A decrease will be the opposite. If a current liability is increased (or created) at acquisition then RE (At) is debited & RE (SOCIE) is credited (after tax).

11. At acquisition

DR	Share capital (SFP)		xx	
DR	Other components of equity (SFP)	If any, after adjustments	xx	
DR	Retained earnings (SFP)	After all adjustments	xx	
CR	Investment in subsidiary (SFP)	Cost		xx
CR	Non-controlling interest (SFP)	FV OR NAV		xx
DR/CR	Goodwill (SFP) **OR** Gain from bargain purchase (P/L)	(balancing figure)	xx	xx

If the acquisition took place in a previous period the gain from bargain purchase is credited to Retained earnings (SOCIE) (beginning of year).

REMEMEBER NCI IS EITHER AT FV OR NAV BASED ON THE FULL OR PARTIAL METHOD OF CALCULATING GOODWILL.

12. NCI share of Retained earnings (beginning of year)

DR	Retained earnings (SOCIE)	(beginning of year)	xx	
CR	Non-controlling interest (SOCIE)			xx

13. NCI share of current year profit

NCI share of profit is calculated after all subsidiary adjustments (elimination of unrealised profit on disposal of inventory/assets if the subsidiary is the seller) & after providing for preference dividends if the preference shares are cumulative. The subsidiary profit is NOT adjusted for the elimination of inter-company interest, rent and management fees. These have NO NCI effect.

DR	Non-controlling interest (P/L)		xx	
CR	Non-controlling interest (SOCIE)			xx

14. Elimination of inter-company dividends

DR	Other income (P/L)	Parent share	xx	
DR	Non-controlling interest (SOCIE)	NCI share	xx	
CR	Dividends paid (SOCIE)	Total		xx

15. Elimination of inter-company loans

DR	Loan (SFP)	Liability in borrowers TB	xx	
CR	Loan (SFP)	Asset in lenders TB		xx

16. Elimination of inter-company interest

DR	Other income (P/L)	Interest received of the lender	xx	
CR	Finance costs (P/L)	Interest paid of the borrower		xx

If there are inter-company management fees and rent between the parent & subsidiary, eliminate as per above journals (CR other expenses).

Journals: Investments in Associates & Joint Ventures

REMEMBER THESE JOURNALS ARE PROFORMA JOURNALS PREPARED TO EQUITY ACCOUNT THE ASSOCIATE/JOINT VENTURE ONLY. THEY ARE NOT PROCESSED IN THE ACCOUNTING RECORDS.

Reversal of unrealised inter-company profits

Note: The journals are also applicable for joint ventures. The only difference is the names of the accounts, i.e. replace 'investment in associate' with 'investment in joint venture' and 'share of profit of associate' with 'share of profit of joint venture.'

1. Unrealised profit in closing inventory: INVESTOR SELLS TO ASSOCIATE

Calculation is based on closing inventory of the buyer x GP% x % interest

DR	Revenue (P/L)	100% x % interest	xx	
CR	Cost of sales (P/L)	Cost x % interest		xx
CR	Investment in associate (SFP)	GP% x % interest		xx
Tax effect @ 28%				
DR	~~Investment in associate (SFP)~~	GP x 28%	xx	
CR	Income tax expense (P/L)			xx

Note: UNISA DR. Deferred tax (SFP) for the tax. I don't agree.

2. Unrealised profit in closing inventory: ASSOCIATE SELLS TO INVESTOR

Calculation is based on closing inventory of the buyer x GP% x % interest

DR	Share of profit of associate (P/L)	GP x % interest	xx	
CR	Inventories (SFP)			xx
Tax effect @ 28%				
DR	Deferred tax (SFP)	GP x 28%	xx	
CR	Share of profit of associate (P/L)			xx

Note: if the associate is the seller the adjustment must be done on the analysis of shareholders' equity (if you have prepared an AOE)

Journals: Investments in Associates & Joint Ventures

3. Unrealised profit in opening inventory: INVESTOR SELLS TO ASSOCIATE

Calculation is based on opening inventory of the buyer x GP% x % interest

DR	Retained earnings (SOCIE) (beg)	GP x % interest	xx	
DR	Cost of sales (P/L)	Cost x % interest	xx	
CR	Revenue (P/L)	100% x % interest		xx
Tax effect @ 28%				
DR	Income tax expense (P/L)	GP x 28%	xx	
CR	Retained earnings (SOCIE) (beg)			xx

4. Unrealised profit in opening inventory: ASSOCIATE SELLS TO INVESTOR

Calculation is based on opening inventory of the buyer x GP% x & interest

DR	Retained earnings (SOCIE) (beg)	GP x % interest	xx	
CR	Share of profit of associate (P/L)			xx
Tax effect @ 28%				
DR	Share of profit of associate (P/L)	GP x 28%	xx	
CR	Retained earnings (SOCIE) (beg)			xx

Example: INVESTOR SELLS TO ASSOCIATE

A Ltd has a 25% interest in B Ltd and has significant influence over B Ltd.
A Ltd sold inventory to B Ltd at a 20% mark-up on cost.
At year end B Ltd still had inventory on hand of R24 000. Assume a tax rate of 28%.

Required

When investor sells to associate
↓ bal sheet part is taken to
Investment in Associate

Prepare the proforma journal entries.

DR	Revenue (P/L)(A Ltd)	(24 000 x 25%)	6 000	
CR	Cost of sales (P/L) (A Ltd)	balancing figure)		5 000
CR	**Investment in B Ltd** (SFP)	(24 000 x 20/120 x 25%)		1 000
Elimination of unrealised profit in closing inventory of associate				

Tax effect @ 28%				
Investment in B Ltd (SFP)		(1 000 x 28%)	280	
Income tax expense (P/L)(A Ltd)				280
Tax implication of elimination of investor's share of unrealised profit				

Example: ASSOCIATE SELLS TO INVESTOR

A Ltd has a 25% interest in B Ltd and has significant influence over B Ltd.
B Ltd sold inventory to A Ltd at a 20 % mark-up on cost.
At year end A Ltd still had R24 000 inventory on hand. Assume a tax rate of 28%.

Required

Prepare the pro forma journal entries.

DR	Share of profit of associate (P/L)	(24 000 x 20/120 x 25%)	1 000	
CR	Inventories (SFP)(A Ltd)			1 000
Elimination of unrealised profit on sale of inventor				
Tax effect @ 28%				
DR	Deferred tax (SFP)		280	
CR	Share of profit of associate (P/L)			280
Tax implication of elimination of investor's share of unrealised profit				

5. Unrealised profit on disposal of a depreciable asset: – INVESTOR TO ASSOCIATE (current year)

DR	Other income (P/L)	If Other income not given DR PBT x % interest	xx	
CR	Investment in associate (SFP)			xx
Tax effect @ 28%				
DR	Investment in associate (SFP)		xx	
CR	Income tax expense (P/L)			xx

Journals: Investments in Associates & Joint Ventures

6. Depreciation adjustment (current year)

The depreciation adjustment is calculated as follows:
Unrealised profit multiplied by investor's % interest divided by the remaining useful life of the asset (RUL) on the disposal date, apportioned for the number of months in the current year.

DR	Investment in associate (SFP)		xx	
CR	Other expenses (P/L)	If Other expenses not given CR PBT		xx
Tax effect @ 28%				
DR	Income tax expense (P/L)		xx	
CR	Investment in associate (SFP)			xx

7. Unrealised profit on disposal of a depreciable asset: ASSOCIATE TO INVESTOR (current year) will be included in AOE

DR	Share of profit of associate (P/L)		xx	
CR	Property, plant & equipment (SFP)			xx
Tax effect @ 28%				
DR	Deferred tax (SFP)		xx	
CR	Share of profit of associate (P/L)			xx

8. Depreciation adjustment (current year)

DR	Property, plant & equipment (SFP)		xx	
CR	Share of profit of associate (P/L)			xx
Tax effect @ 28%				
DR	Share of profit of associate (P/L)		xx	
CR	Deferred tax (SFP)			xx

Journals: Investments in Associates & Joint Ventures

Goodwill and gain from bargain purchase on acquisition

If goodwill arises on acquisition of an investment in an associate, the goodwill is included in the CV of the investment. Amortisation of goodwill is NOT permitted. This goodwill included in the CV of the investment is not separately recognised and is therefore NOT tested for impairment separately. Instead the entire CV of the investment is tested for impairment.

If a gain from bargain purchase arises on acquisition of an investment in an associate the gain is instead included as income in the determination of the investor's share of profit in the associate **in the period** in which the investment is acquired. In subsequent periods it is credited to opening Retained Earnings.

9. Gain from bargain purchase (current year)

DR	Investment in associate (SFP)		xx	
CR	Share of profit of associate (P/L)			xx

10. Gain from bargain purchase (prior period)

DR	Investment in associate (SFP)		xx	
CR	Retained earnings (SOCIE)	(beginning of year)		xx

11. Elimination of intercompany dividends (only % received by investor from associate)

DR	Dividend received (P/L)		xx	
CR	Investment in associate (SFP)			xx

Interest, management fees and rent paid by associate to parent

Interest, management fees and rent between the parent and the associate are not eliminated as IAS 28 states that only transactions with an unrealised profit effect should be adjusted.